

COMMENT LETTER

Re: File No. S7-2026-15 – Proposed Amendments Permitting Optional Semiannual Reporting

To the Securities and Exchange Commission:

I appreciate the opportunity to provide comments on the proposed rule permitting optional semiannual reporting for eligible public companies. I am attaching this amended comment because I did not see an updated comment in relation to the new comment I sent yesterday after the original one did not post correctly at the time. I made significant updates in the meantime about when the public intent of the disclosure rules towards material weaknesses as an early warning sign is not accomplished in practice due to lingering significant deficiencies and late-changing classification as a significant deficiency. This comment responds specifically to:

Request for Comment 18: “Would this practice create any new or heightened investor protection concerns?”

and

Request for Comment 26: “For semiannual filers, what impact would a shift to semiannual reporting have on: (1) companies’ disclosure controls and procedures, (2) companies’ internal control over financial reporting, and (3) independent public accountants’ strategy and approach for the annual audit of companies’ internal control over financial reporting or financial statements? With semiannual reporting, is there a potential for a material increase in the risk that material misstatements (either due to error or fraud) or control deficiencies are not timely detected or communicated to the independent public accountant thereby limiting potential remediation of these issues by the issuer? Please provide any data related to these questions.”

Introduction

There are conditions currently undisclosed to shareholders that would occur in semi-annual reporting that based on my experience when present generate serious concern for a material increase in the risk that material misstatements (either due to error or fraud) or control deficiencies are not timely detected by or communicated to the independent public accountant thereby limiting potential remediation of these issues by the issuer. Knowledge of these conditions are based on my discussions I had while I was an external auditor of public companies. There would be heightened investor protection concerns present that when coupled

with semi-annual reporting indicate to me that semiannual reporting should be restricted to mostly mature companies that have consistently avoided 1) material revisions, 2) material misstatements, and 3) ICFR material failures in period-end, occurring without material revisions or misstatements, often accompanied with lingering significant deficiencies affecting other material line items/metrics.

In quarterly reporting, emerging growth companies especially with the listed conditions present benefit from additional feedback as the company continues to grow and from additional practice performing quarterly close controls. More mature companies with the listed conditions present benefit from more frequent operation of controls that brings with it increased precision. Semiannual reporting alone will likely extend the timeline of ICFR control remediation in period-end FR for some emerging growth companies (EGCs) over a greater number of years and create lingering issues from material failures in ICFR from my limited experience. Hopefully, increasing disclosure of these conditions will result in an incentive to improve capital markets efficiency, governance, and SOX readiness.

A shift to semi-annual reporting under the current disclosure requirements for public companies with now-undisclosed material revisions in total, material misstatements, or material ICFR control failures in period-end financial reporting, without material misstatements or revisions, but accompanied with lingering significant deficiencies materially affecting other material line items/metrics used to value the company presents serious risks when there is a:

1) A compounding effect of material extraordinary risks to financial reporting from fraud or operational problems that presents itself as material control failures to period end financial reporting, occurring often alongside near-material failures in other ICFRs such as operational controls for material line items/metrics used to value the company at the entity level. Sometimes these controls are remediated in the last quarter (presenting planning/risk assessment problems) or still classified as significant deficiencies at year-end without public disclosure of steps taken to try to remediate them. Companies avoid public disclosure at all contrary to the publicly listed intent of the rules.¹ The effect of current disclosure practices results in companies

¹ Currently under PCAOB Auditing Standard 2201 (AS 2201), the mandate for judgment is clear: "The auditor must evaluate the severity of each control deficiency that comes to his or her attention to determine whether the deficiencies, individually or in combination, are material weaknesses as of the date of management's assessment. In planning and performing the audit, however, the auditor is not required to search for deficiencies that, individually or in combination, are less severe than a material weakness.

The severity of a deficiency depends on -Whether there is a reasonable possibility that the company's controls will fail to prevent or detect a misstatement of an account balance or disclosure; and The magnitude of the potential misstatement resulting from the deficiency or deficiencies." <https://pcaobus.org/oversight/standards/auditing-standards/details/AS2201>. AS 2 that was adopted prior: Required auditors to actively search for, evaluate, and report all significant deficiencies. This led to massive audit costs and forced auditors to evaluate minor, less consequential defects."

As stated at the time of its release in 2007 "The new version should increase the likelihood that material weaknesses will serve as an early warning system, rather than merely as after-the-fact acknowledgments that something has gone wrong. " https://pcaobus.org/news-events/speeches/speech-detail/statement-on-adoption-of-auditing-standard-no-5-and-related-proposals_212.

avoiding public reporting of significant deficiencies, including some longstanding issues, that often occur alongside recent period-end financial reporting control failures under current disclosure law through classification of these issues as a significant deficiency at year end (not explicitly required to be disclosed at all sometimes, but disclosure might occur to some institutional shareholders who know/have opportunity to ask about them). Significant deficiencies can be widespread in ICFR operational and/or period-end financial reporting controls at the segment level after an ICFR control material failure is removed from public disclosure. While the condition alone of an ICFR material failure in period end financial reporting in my view should prevent semiannual reporting, a significant deficiency that is a near-material failure in an operational ICFR can linger undisclosed after the period-end financial reporting control has been removed from public view in disclosures in the 10-K and certainly presents an additional risk that I think should prevent semi-annual reporting for these companies. This information is decision useful because conditions listed above may lead to unexpected costs to investors in material line items like those that could be directly used to value the company in the event of going concern risk that may appear in the future. Late filing slightly complicates the picture and rules should also be considered to reduce the burden for certain companies in the short rather than medium-term which semi-annual reporting might accomplish.

2) A longer lead time until corrective action will be taken in practice towards most now undisclosed revisions due to the current frequency and precision of account reconciliations, management quarterly reviews, and inquiry from auditors as compared to semiannual reporting. Semiannual reporting would give companies, particularly EGCs who might need it, much less chances over time to put into practice corrective action that sometimes may take a couple years to get correct. Quarterly reporting entails more frequent and more precise account reconciliations that often help discover errors in practice, management reviews, and important conversations quarterly about material balances that prevent surprises with unnecessary costs/overruns at year end that are common in emerging growth companies with these conditions present.

These risks are hard for retail investors to assess fully under the current disclosure requirements, especially with the disclosures made in practice. Coupled with semiannual reporting, the current disclosure requirements seem very inadequate to protect all investors' interests. Especially for investors who may buy/sell the stock after the information is released selectively if at all because as an investor it helps to find disclosure about these topics in an

Based on my experience, I do not think that the disclosure requirements following a material weakness in financial reporting followed by widespread significant deficiencies in ICFR serve as an early warning signal and problems with the current disclosure requirements would be made worse with a shift to semiannual reporting due to the compounding nature of risk from recent period-end ICFR failures and ICFR significant deficiencies affecting material line items/metrics like those in operational controls. Also a longer lead time until corrective actions will be taken in practice due to less frequency and precision of controls like account reconciliations and management reviews for some companies that adopt semiannual reporting.

easy to compile XBRL format in a 10-K/Q/S to see a complete view of material information management uses in making important decisions.

I think that narrowing the scope of who will be eligible for semiannual reporting to not include public companies with these conditions present for at least three years after they are present will increase capital markets efficiency and decrease the administrative burden on companies with proper corporate reporting and governance priorities. Decreased comparability and consistency in information provided by companies and in between years would be a negative effect to information provided to investors as a result of these conditions.

Conditions That Should Prevent Semi-Annual Reporting

- 1. Revisions when in total material over a three year period because of the compounding effect through quarters of most minor errors seen in practice. Minor errors are often corrected before public disclosure is currently required after a few attempts at financial reporting controls, like reconciliations, or through a greater frequency and precision of review, including conversations, as the mistakes tend to continue to grow larger over time.**

Materiality should be considered over at least a three year rolling period to prevent intentional one year shifts and one-off operational errors leading to an increased administrative burden that is unproductive to protect investor interests. If revisions are disclosed in total, as I think it should be, it should then be broken out to de minimis materiality, just to say you should not be able to disclose separately determined material components to certain investors in effect as is currently the case for disclosure made about revisions like some presentation errors.

Not disclosing all de minimis components when total revisions are material would defeat the principle of all investors including retail investors being provided decision useful material information to avoid unforeseen risks that will adequately protect their interests.

Important to note important assumptions in de minimis materiality like a lack of detected illegality and fraud. Also these disclosure should be made considering qualitative factors like those listed in SEC Staff Accounting Bulletin No. 99 (SAB 99). Disclosures about the scope of total revisions to retail investors are often not provided in practice since some may be disclosed exclusively to institutional investors. Total quantitatively would be decision-useful information provided to retail investors about the company's progress toward improving corporate governance. Quantitative revisions should at least be disclosed for all periods when it has forced the change to quarterly from semiannual reporting in at least one of the comparative years.

Another benefit of this increased disclosure: It will easily allow retail investors to measure progress towards remediation and achievement towards possible benefits associated with semiannual reporting like reduced SG&A, instead of allowing companies to selectively choose which presentation errors will look best together in a press release as is achieved sometime under current disclosure requirements as conveniently-framed and conveniently-timed reformation. Accordingly, all investors would be able to hold management accountable for all decisions with more material information, including shifts from quarterly to semiannual reporting as well as remediation steps, and whether they match the investor's risk profile. Especially when in practice revisions can be used as an avenue for a convenient boost to qualitatively important short-term Non-GAAP metrics, including those metrics important to some investors whose interests may not adequately represent retail investors'.

2. **Material Restatements:** Important to mention with consideration of qualitative factors like those listed in SEC Staff Accounting Bulletin No. 99 (SAB 99).
3. **Material ICFR control failures in period-end financial reporting, occurring without material revisions or restatements, and over the next three years near-material ICFR failures, classified as significant deficiencies. These significant deficiencies would have to materially affect material line items/metrics to be disclosed. Undisclosed remedial action presents serious risks especially when near-material ICFR failures are remediated in the fourth quarter without proper planning and risk assessment or undisclosed remedial action leads to ongoing classification as a significant deficiency at year end. Specifically for controls with completeness/accuracy considerations like: operational controls that could materially affect material line items/metrics used to value the company now and in the future, especially in distress sales, bankruptcies, liquidations, or commodity sell-offs.**

Disclosure would also need to address steps taken to improve information technology. Companies may not want to disclose control remediations affecting material line items/metrics occurring in the fourth quarter since it could affect their stock price when significant deficiencies and remediation methods could otherwise just be disclosed to management and the audit committee only. However, material ICFR control remediation in the last quarter of the year that is not subject to proper risk assessment including around completeness/accuracy, walkthroughs, and feedback throughout the year or is still classified as a significant deficiency at year end, can generally when combined with recent failures in period end financial reporting present fraud and operational risks that should be disclosed to shareholders. Both problems indicate semiannual reporting will not adequately protect investor interests due to compounding effects of material fraud and operational risk that could be prevented through more frequent and more precise control operations like reconciliations, quarterly management reviews, and important auditor inquiry with management about material balances. There is also usually a need

to increase staff after control failures like period-end financial reporting so an increased administrative burden should not unduly burden companies that may require additional staff over a medium term, and the company will likely benefit from additional feedback throughout the year.

Conclusion on Conditions: These conditions contain information that is materially important to retail investors, often undisclosed, and usually is accompanied with unforeseen results seen over a length of time which should prevent semiannual reporting due to the nature of compounding risk and longer lead times in semiannual reporting that as stated above will affect (1) companies' disclosure controls and procedures, (2) companies' implementation and design of their approach to remediating internal control over financial reporting, and (3) independent public accountants' strategy and approach for the annual audit of companies' internal control over financial reporting or financial statements

I would like to see conditions on the proposed semi-annual reporting rule or changes to the disclosure requirements for public companies because it will:

- Increase risk assessment, planning, and feedback throughout the year around potential ICFR material control failures through more frequent reviews. Possibly encouraging companies to attempt to remediate their potential material failures in ICFRs early in the year. Because not doing so until the end and disclosing the steps you took at the very end that may have not been adequate, demonstrates the company's role in generating significant waste through poor governance. Poor governance that would be seen initially in ICFR material failures, next in disclosed remedial steps taken towards significant deficiencies affecting material line items/metrics, and finally later in unforeseen costs for investors that may appear.
- Increase disclosure around steps taken to remediate period-end ICFRs material failures and near-material failures turned into significant deficiencies that may still materially affect material line items/metrics such as those used to value the company, especially in distress sales, bankruptcies, liquidations, or commodity sell-offs. Investors should be given the information that would help them find answers to questions similar to institutional investors in determining their risk profile. For example steps taken at each business segment affected should be described if they are actually taken.

Practical Impact on Companies

Excluding companies that exhibit these risky characteristics from semiannual reporting is key to address concerns that semi-annual reporting will make fraud or operational problems harder to detect quickly based on my practical experience with following control failures and resulting impacts to retail investors. Narrowing the rules will also provide additional incentives for companies to avoid improperly taking advantage of these conditions that are common in emerging growth companies and promote proper governance practices as well as increased efficiency from improved incentives like that to improve SOX readiness. Robust implementation of AI across companies may change the hiring needs of companies who face issues with the

conditions noted in this comment, but hiring at companies still usually does need to occur regardless, to remediate the issues when these conditions exist. A question I think may take more experience to answer is whether three years is appropriate to mandate a shift to quarterly reporting from semi-annual for mature companies given the rate of change at companies with the rate of AI adoption. Importantly, I think semi-annual reporting will probably extend the timeline of remediation for emerging growth companies with material failures in ICFR in period end in practice, along with the chance of associated errors in the meantime.

Companies will likely probably not want to disclose ICFR control failure remediation for operational controls affecting material line items/metrics occurring in the last quarter of the year or for near-material failures in ICFRs that are still classified as a significant deficiency at year end because it could affect their stock price in their view unnecessarily. However, when accompanied with period end financial reporting ICFR material failures that alone should disqualify you from semiannual reporting in my view, the listed conditions present an additional risk that should be disclosed to investors because of the nature of how information goes from business segments and into the corporate consolidated financial statements.

Quantified Impact on Public Companies

What percentage of emerging growth companies have control failures in ICFR? As of 2017 Among the 1,862 EGC filers, 1,355 provided a management report on internal control over financial reporting in their most recent annual filing. Of those 1,355 companies, approximately 46% reported material weaknesses.²

Adverse ICFR Disclosure Rate by company size (FY2022 excerpt)³

- Large Accelerated Filers:
5.8%
- Accelerated Filers:
17.7%
- Non-Accelerated Filers:
38.0%

That is all the publicly available compiled data I could find without industry datasets that could provide more precise information about the number of companies with material ICFR failures in period-end that this would affect.

²<https://assets.pcaobus.org/pcaob-dev/docs/default-source/economicandriskanalysis/documents/white-paper-characteristics-emerging-growth-companies-may-2017.pdf?>

³<https://www.scribd.com/document/871426339/SOX-404-Disclosures-ANineteen-YearReview?>

Regards,

Andrew Parker

